

ATS CORP **ATS**July 29, 2026 - 3:23pm EST
by

Woodrow

			2026	2027
Price:	37.26	EPS	2.04	2.52
Shares Out. (in M):	98	P/E	18.3	14.8
Market Cap (in \$M):	3,656	P/FCF	20.5	12.7
Net Debt (in \$M):	1,152	EBIT	354	416
TEV (in \$M):	4,808	TEV/EBIT	13.6	11.6

Description**Illustrative Investment Idea – Long – ATS Corporation (ATS)**

ATS Corporation represents a compelling turnaround story under a strong new leader as the Company begins to capitalize on secular growth opportunities within automation, radiopharma, and nuclear energy. ATS is an industrial automation solutions provider serving the Life Sciences (51% of trailing 12-month revenue), Food and Beverage (17%), Consumer Products (19%), Energy (7%), and Transportation (6%, since exited) end markets. The Company has developed an impressive portfolio of technologies and benefits from secular tailwinds around automation due to reshoring of manufacturing and tightening labor markets in developed Western economies. The Company designs and manufactures robotic equipment that offers benefits to customers such as: improved factory throughput for repetitive manual tasks; greater precision than human workers; and unique applicability in hazardous environments and tasks with high cost of failure, like radioactive material handling.

Despite some missteps in recent years, ATS has demonstrated a strong track record of organic revenue growth (5.7% CAGR over the last five years) supported by innovation in its key Life Sciences end market, and we believe that growth should accelerate from these levels. Historically, ATS supplemented organic growth with tuck-in acquisitions and became viewed by the market as a high-growth compounder, garnering a 15.9x EBITDA multiple valuation in mid-2023.

Two key issues have since caused ATS' shares to de-rate to multiples well below peer levels, creating the current investment opportunity we are highlighting here. First, in 2024, the market began to lose confidence in the Company due to a significant misstep in its foray into the EV battery end market. Historically, Transportation was a small segment for ATS where it has a lower technical moat than it does in the Life Sciences and Energy segments. As auto companies rushed into the EV space, ATS capitalized by winning orders worth \$578 million in FY2023 to supply automation equipment to a large General Motors Company (GM) battery factory. However, as the EV boom turned into a bust, GM abandoned its battery plant and refused to pay ATS for the work it had completed, leaving the Company with \$340 million of unpaid contract assets and receivables as of Q2 2025. By fiscal year end 2025, this dispute resulted in a 69% year-over-year decline in Transportation segment revenues as the Company lapped the one-time benefits from this order. Additionally, the lack of payment on the order caused the Company's leverage to spike to 3.9x net debt to EBITDA, which spooked some of ATS' investors and sidelined the Company from continuing its normal cadence of tuck-in acquisitions. Second, ATS' prior management had promised to expand its margins alongside revenue growth. However, after the EV issues, margins contracted instead, with EBITDA margins declining from an average of 15.8% in FY2022-FY2024 to 13.9% in FY2026. This margin contraction has weighed heavily on ATS' EBITDA growth rate and consequently the shares have de-rated to 9.6x CY2027 EBITDA today, based on our estimates.

While ATS has since exited the EV business, investors are looking for a margin improvement story and similarly compelling growth opportunities, like EV was for ATS in 2023, to re-engage. Over the next year, we expect the dynamic new CEO, Doug Wright, to reinvigorate confidence in ATS' margin trajectory and organic revenue growth tailwinds. We see the opportunity for ATS to regain a premium multiple through: 1) improved margins driving upside to estimates and the EBITDA growth algorithm over time; 2) accelerating organic growth back towards high-single-digits driven by its strong market position in its radiopharma and nuclear energy businesses; and 3) upside to current consensus estimates and improved investor communication. As such, ATS should be able to achieve a peer median multiple of 17.5x FY2028 EBITDA and reach our price target of \$79.88 per share, representing 107% upside from today's stock price.

Significant Untapped Margin Opportunity Should Accelerate Bottom-Line Growth

While the prior management team at ATS seemed more focused on chasing revenue growth at all costs, we believe that new CEO Doug Wright will be able to drive margin expansion while growing revenues. Over the past several years, ATS has suffered from declining EBITDA margins, which have been an impediment to the Company's longer-term EBITDA growth algorithm and consequently its multiple. We believe that reliable margin expansion should drive a significant revaluation for the shares. This margin turnaround strategy has already been proven out at its peer, Rockwell Automation (ROK). In August of 2024, ROK brought on a new CFO with the goal being to shift the focus away from margin-dilutive revenue growth and to drive an inflection in the margin profile. Under the new CFO, ROK grew revenue by just 1% in FY2025 but expanded EBITDA margins by 117 bps. ROK's shares were deservedly rewarded for this pivot, trading up nearly 65% since 2024 with its EBITDA multiple expanding from 20.8x to 23.1x over that same period.

Doug Wright sees significant margin opportunities at ATS and is moving quickly to execute them. First, Mr. Wright can better integrate past acquisitions and implement best practices across its footprint. From 2021 through 2024, the Company made 16 tuck-in acquisitions and many of these businesses were not optimized for profitability as prior management did not want to risk inhibiting revenue growth. Thus, there is an extremely wide range in the profitability of different factories with some even operating at negative margins. These margin opportunities can be addressed quickly. Second, prior management at ATS had chased sales in verticals where ATS did not have a strong competitive advantage like Transportation. Given the strong tailwinds in radiopharma and nuclear energy, which are both high-margin businesses, this should no longer be necessary. Indeed, one of Mr. Wright's first actions as CEO was exiting the

remaining \$50 million of business in the Transportation vertical operating at “dilutive margins”. We believe that this can add 20-30 bps of margin improvement this year. Third, Mr. Wright sees a commercial improvement opportunity where ATS can push pricing in areas where it has a strong competitive advantage and a technological edge over peers like some of these radiopharma and nuclear opportunities. Fourth, given Mr. Wright’s background in operational excellence, he will work to accelerate initiatives like moving labor to low-cost countries, leveraging AI, and centralizing logistics and sourcing negotiations to benefit from economies of scale.

Doug Wright is moving quickly on this margin improvement opportunity, which seems to be misunderstood by sell-side analysts. The Company committed to 50-75 bps of margin improvement in FY2027, but current consensus estimates only reflect 35 bps of EBITDA margin improvement. This suggests that the street is skeptical that the Company can achieve its publicly disclosed targets. The Company suggested Q1 margin expansion will be below the 50-75 bps objective due to the timing of revenue over the course of the year. This implies that ATS should exit FY2027 at a margin improvement rate closer to 100 bps, well above the 50-75 bps annual range. We believe that Mr. Wright is targeting margin expansion towards the upper end of the 50-75 bps annual range in the next several years, as he believes that this business has the potential to improve margins by 500 bps over time.

Parts and Services Should Accelerate Margin Expansion and Organic Growth

ATS’ parts and services business is an overlooked opportunity for the Company to accelerate its margin improvement and organic revenue growth at the same time. Over the last several years, ATS has focused on improving its penetration into parts and services. Thus, ATS has seen its parts and services segment grow from 26.7% of revenue in FY2023 to 34.0% in FY2026. Historically, ATS allowed third parties to perform service work on ATS machines. Now, the Company has improved its tracking of machine usage and can proactively reach out to customers to keep the service opportunity in-house. Additionally, Doug Wright has changed compensation policy to drive better parts and services penetration. In the past, the Company maintained two different segments where some salespeople focused on new machine sales and others on harvesting parts and services business. Thus, there was no incentive for new machine salespeople to convince their customers to commit to higher-margin services work as well. Now, salespeople are compensated based on the profitability of both new machine sales and parts and services.

These actions have accelerated growth in the parts and services segment with revenue growth of 13.5% in FY2026, and we believe that this business should continue to grow at a similar rate over time. Management believes that parts and services should grow to 45%-50% of revenue over time, an 11%-16% improvement from today’s levels. This mix shift should organically enhance margins since parts and services revenue carries 5%-10% better margins than new machine sales. Thus, parts and services alone represent nearly 150 bps of margin opportunity over time. Additionally, parts and services revenues have outgrown the machine sales business for the last several years and clearly management expects this trend to continue, as it projects sales mix further shifting towards this segment. We expect parts and services to grow at a CAGR of at least 10% over time with higher growth rates in the next several years due to increased focus from Doug Wright and the new team. This would represent a 3.4% tailwind to organic revenue growth.

Automation and Nuclear Mega-Trends Should Drive Accelerated Organic Growth

Investors looking for the next leg of organic growth should find comfort in ATS’ positioning within long-term and resilient mega-trends in nuclear medicine and nuclear energy. As developed markets like the US and Europe look to re-shore and near-shore a significant portion of their supply chains, automation has become a key tool. High-quality blue-collar workers are increasingly scarce and command much higher hourly wages than competing workforces in emerging markets, driving companies to lean into automation. Moreover, advances in AI should only bolster the capabilities of automation equipment. However, while automation-focused peers have seen strong share price performance and multiple expansion as investors look to gain exposure to this long-term industrial automation trend, ATS’ shares have declined due to the EV issue. Since the highs in 2023, ATS’ shares have depreciated about 40% with its EBITDA multiple contracting from 16.0x to 10.9x today.

While ATS benefits from tailwinds in automation, it also should grow well above the broader automation market due to several secular growth areas like Life Sciences and Energy. To demonstrate some of the more exciting drivers of ATS growth, we have chosen to highlight opportunities in radiopharma and nuclear energy that should support our high-single-digit organic revenue growth target over time.

Radiopharma Opportunity

ATS is a clear leader in automation equipment for the radiopharma industry, one of the most exciting secular growth areas in biotech. This area should represent ~10% of sales this year and is the fastest-growing piece of ATS’ portfolio. This field is often known as theranostics because mild radioactive elements are used first to diagnose the location and extent of a disease and then to deliver a targeted treatment directly to the affected cells. Typically, a mildly radioactive imaging agent is paired with a targeting molecule and injected into a patient to seek out specific proteins or receptors on cells. Then these targeted molecules light up on a PET or SPECT scan, showing a physician the exact location of diseased cells. Next, the diagnostic radioactive isotope can be swapped for a much stronger therapeutic radioactive element attached to the same targeting molecule which is used to directly attack only the diseased cells, preserving the healthy cells surrounding it. ATS’ subsidiary, Comecer, produces equipment and software that spans the entire value chain of this industry from R&D and isotope development to on-site preparation of radioactive materials and even to administering treatments.

This industry has seen a significant resurgence over the last several years with the introduction, and blockbuster success, of therapies like Pluvicto, which targets and attacks certain prostate cancers. Pluvicto has shown better results than other treatments like traditional chemotherapy alone with fewer side effects. Novartis (NOVN SW) estimates that Pluvicto can be a \$5 billion sales opportunity and, in the most recent quarter, revenue for the therapy grew by 70%. Additionally, in November of 2024, the Centers for Medicare & Medicaid Services (“CMS”) agreed to unbundle and pay separately for diagnostic

radiopharmaceuticals with a per-day cost exceeding \$630. This has vastly improved patient access to advanced PET and SPECT scans (which use radioactive elements) for conditions like Alzheimer's, Parkinson's, and prostate cancer. PET and SPECT scans can detect signs of Alzheimer's and certain cardiac diseases much earlier than traditional screening. Thus, patients can begin proactive therapies for these diseases much sooner, and providers and pharmaceutical companies can be compensated appropriately because of these advanced diagnostics.

Due to these positive developments, funding for the radiopharma industry has taken off, which should be a strong leading indicator for ATS sales into the space. In 2025, there were four large acquisitions of biopharma companies by major pharmaceutical companies including Eli Lilly and Company (LLY), Bristol-Myers Squibb Company (BMY), AstraZeneca (AZN LN), and Novartis. Additionally, William Blair estimates that radiopharma companies received \$900 million in private funding, and other major nuclear-focused companies like TerraPower are working to develop isotopes for medical use. At least 70 new therapies are currently in phase II or III clinical trials. Thus, public companies like Cardinal Health (CAH) see this as among their fastest-growing end markets and anticipate growth exceeding 30% this year and 20% thereafter.

Through Comecer, ATS is the clear leader in providing automated equipment to this space with only one other major competitor at scale. Given the high cost of failure when dealing with radioactive materials, we believe there are significant barriers to new entrants. Currently, this industry represents over 10% of the Company's backlog and we expect the growth to be significant. In the isotope production phase, the Company has partnered with Bill Gates and Nvidia-backed TerraPower (based on posts on LinkedIn), and we have even unearthed significant orders from small start-ups like a €49 million order from Perspective Therapeutics (CATX). Additionally, since radiopharma uses isotopes with short half-lives, ATS' equipment used to prepare diagnostics and treatments must be localized closer, requiring more equipment than in traditional pharmaceuticals. We estimate that each line that is localized could contribute \$20-\$30 million of revenue. Moreover, the physicians and providers administering radioactive materials also need protection with 100% reliability. Thus, automation is important because mixing and dosing must be performed in machines under layers of lead. Comecer has created machines that fill syringes with radioactive material, monitor IV lines, and can even inject patients automatically without the need to expose medical professionals to any degree of radiation.

Based on forecasted radiopharma industry growth rates and commentary from CAH and others, we believe that ATS' revenue in this space should comfortably grow ~25% per year, driving growth of ~2.5% for the Company and going a long way towards driving the high-single-digit revenue growth we expect. Additionally, as the market looks for opportunities in this exciting area, ATS is a way to buy the "picks and shovels" without having to make a bet on which therapies or diagnostics ultimately become the most successful.

Nuclear Energy Opportunity

Due to the emergence of AI and its insatiable demand for power, nuclear energy is seen as an important solution. Much like in the radiopharma market, ATS is a dominant provider of automation equipment in this space providing the "picks and shovels" that are needed as nuclear power production grows. ATS provides both capital equipment and software that enables reactor refurbishment and maintenance, remote inspection and monitoring, waste storage and handling, and training simulation capabilities for nuclear projects. Due to the presence of dangerous radioactive materials, this area is also ideal for automation. The barriers to entry here are also high because any failures can turn into a major ecological catastrophe. ATS is the clear market leader in this nuclear automation space, followed by BWX Technologies (BWXT), which trades at an impressive 24.8x EBITDA.

Since nuclear projects require multi-billion-dollar capital expenditures, even a few orders can have a meaningful impact on ATS' growth rate. The three main opportunities for ATS are: 1) newbuild large reactors; 2) newbuild small modular reactors ("SMR's"); and 3) refurbishments of older reactors using the CANDU technology. In all cases, the incremental revenue opportunity for ATS is around \$80-\$100 million per project with ATS comprising a low-single-digit percentage of the costs for newbuild large reactors and SMR's and a mid-single-digit percentage of the costs for reactor refurbishments. Thus, any one project represents around 3% of ATS' sales. Additionally, ATS' machines go in at the early stages of a project and realize revenue on a percentage-of-completion basis, so this opportunity may be reflected in revenues earlier than analysts expect.

Over the next five years, we believe there will be a material acceleration in newbuild nuclear reactor projects across North America and Europe where ATS commands a sizable market share in nuclear reactor capital equipment. Industry research estimates a total of 44 newbuild reactor projects in ATS' geographic markets will begin construction by year end 2031. Broken down by geographical market, industry research forecasts: US (29); UK (7); Ukraine (4); and Canada (4). This acceleration is being driven by the increased demand for power as the AI infrastructure and datacenter buildout continues. Innovative new reactor technologies like SMR's are seen as the cleanest and most scalable ways to increase power generation across grids. Of these 44 projected newbuilds, 9 will be large reactors and 35 will be SMR's with even more SMR's expected to come online beyond 2031 as the technology is eventually proven out. Assuming the midpoint of the \$80-\$100 million incremental revenue framework, this represents a total addressable market opportunity of approximately \$4 billion over the next five years, where ATS should win a significant majority share.

Beyond newbuild reactor projects, we see additional revenue growth coming from the refurbishment of CANDU reactors expected in the coming years. ATS has been the leading supplier to AtkinsRéalis Group (ATRL CN) for equipment associated with its CANDU reactor technology. This long-term relationship represents one of ATS' key competitive moats within the nuclear vertical and has been the driving force behind its commanding market share. The CANDU reactor technology has been embraced by the Canadian government and represents the majority of Canada's installed nuclear power generation capacity. The existing fleet of CANDU reactors is amidst a wave of ongoing and planned refurbishment projects. Ontario Power Generation is currently refurbishing four CANDU reactor units with completion expected by 2034. Additionally, Bruce Power is set to refurbish six of its eight reactor units through 2033. ATS sees an equivalent revenue opportunity within refurbishment projects as with newbuild reactor projects. As such, the ongoing CANDU refurbishments in Canada alone represent about \$900 million in incremental revenue through 2033. Outside of ATS' backyard, there is additional refurbishment work anticipated for CANDU reactors in Korea (3), China (2), and Romania (1), adding another \$540 million to the near-term CANDU refurbishment revenue

opportunity.

Based on our analysis, we believe that ATS' revenue within the nuclear vertical could potentially grow at 25.0% per year, conservatively driving growth of 2.5% for the Company. These estimates are comfortably supported by the ~\$4.0 billion newbuild reactor and the ~\$1.4 billion CANDU refurbishment addressable markets over the next five years. We assume ATS wins just 50% share of the newbuild business and 100% share of the CANDU refurbishment business given ATS' commanding market share on CANDU reactor technology and longstanding relationship with ATR. Under this scenario, we see an average revenue opportunity of ~\$680 million annually. This compares to ATS' Energy segment revenues of just \$227 million in FY2026, showing just how dramatic the annual growth rate in the Energy segment could be. As the market looks for additional ways to gain exposure to the AI power generation mega-trend, ATS is again a "picks and shovels" way to make a technology-agnostic bet on the entire nuclear energy buildout.

When combined with our radiopharma growth outlook, these two revenue opportunities could realistically drive ~5% in incremental top-line growth in the years ahead while representing a mere ~20% of consolidated sales. Finally, if we add the 3.4% growth we expect from the parts and services business, we already arrive at an 8.4% organic growth rate from businesses that comprise ~55% of consolidated revenue. As such, the Company should be able to return to the high-single-digit revenue growth territory in CY2027 and beyond even if the remaining ~45% of the business contributes no growth. As the Company proves it can grow revenues faster than the consensus peer average of 6.0%, we expect the Company's multiple to close the substantial gap between the current 9.6x and the peer average of 17.5x, driving the shares towards our price target of \$79.88, representing upside of 107%.

Improved Investor Communication and Analyst Day Should Unlock Value

Improved fundamental performance on organic growth from secular trends and refocusing on margin expansion should be the biggest long-term drivers of share price appreciation for ATS. However, improved investor communication and upside to consensus estimates should serve as a catalyst to improve the share price on a more near-term basis. Management and other insiders clearly view the shares as undervalued and have recently purchased shares at prices around today's levels. Since March of this year, Doug Wright has purchased 34,600 shares, the Chairman has purchased 840,602 shares, and seven additional insiders have purchased shares as recently as early July. Additionally, Mr. Wright's compensation package sufficiently aligns with investor interests with \$7.1 million of PSU's in three equal tranches, vesting at 51%, 101%, and 201% above ATS' current share price. We believe that this insider buying activity and Mr. Wright's compensation package indicate that management understands the Company's undervaluation and should be motivated to ultimately address it through improved communication.

Upside to Current Consensus Estimates

The Company clearly botched its communication during the most recent Q4 2026 earnings report. This created significant confusion around the Company's outlook for FY2027 and caused the shares to sell off by 25% over the subsequent two weeks. We believe that several issues impacted the share price. First, after several quarters of strong bookings, ATS reported a book-to-bill of 0.9x, which caused investors to fear that organic growth could be weak in FY2027. This impression was reinforced by the Company providing guidance that Q1 revenue would be down between 6.3% and 1.0% sequentially due to the timing of projects, and management stating that revenue growth would be "modest" in FY2027 as the Company comped 6.0% organic growth in FY2026. Second, the Company also commented that FY2026 revenue growth had been bolstered by demand for autoinjector equipment for GLP-1 drugs. This caused investors to panic around fears that GLP-1 autoinjector softness could cause larger issues like those borne of the EV dispute with GM in years past. Based on this commentary, sell-side analysts revised their organic growth estimate for FY2027 to a paltry 1.5% from their prior estimate of around 4.0%. Third, analysts clearly misunderstood ATS' commentary around EBITDA margins calling for 35 bps of improvement instead of ATS' guidance of 50-75 bps, as we demonstrated earlier.

We expect that management will attempt to rectify these communication missteps when the Company reports again in August. First, modest weakness in autoinjector equipment for GLP-1's should not derail the Company's growth. Unlike the prior EV issues, revenue from this business is likely to decline moderately from peak levels but not go away entirely and only represents around 10% of revenue today. This is in stark contrast to the 30% of revenue the EV business represented in FY2024 prior to the dispute with GM. Indeed, the Company has noted that no customers have canceled longer-term orders that they have booked for calendar years 2026, 2027, and beyond. Second, we believe that consensus revenue growth estimates for this year are too low. Analysts are calling for revenue growth of 2.1% in Canadian dollars, which would translate to around 1.5% in organic constant currency growth at current exchange rates. We believe that this growth estimate ignores the strong resurgence of growth in parts and services revenue as discussed earlier in the letter. Parts and services currently represent 34.0% of revenue and grew 13.5% last year. If the Company can grow this segment at a similar rate this year, it would add 4.6% to overall revenue growth. Additionally, given the tailwinds in automation, radiopharma, and nuclear energy, we believe that the new machine sales business should grow organic revenue by at least 2.0% even with the autoinjector headwinds. This would contribute 1.3% to organic sales growth. Finally, the Company is exiting \$50 million of dilutive sales in the Transportation segment, which should be a 1.7% headwind to organic growth. Adding these numbers up, we believe that ATS can report around 4.2% organic revenue growth in FY2027, well above the current analyst projection of 1.5% and even above the prior estimate of around 4.0%. The Company's botched communication has undeniably caused analysts to issue overly conservative estimate revisions, far below what the business fundamentals support.

The Company can avoid this type of confusion going forward by providing annual guidance rather than simply guiding for revenue just one quarter ahead. The current practice of providing only short-term revenue guidance appears to be depressing the Company's multiple and introducing unnecessary volatility into the share price. First, as a business with significant backlog, ATS should have the visibility to guide revenue for a year forward. Second, the lack of medium-term guidance causes investors to myopically focus on quarterly book-to-bill. As we have demonstrated, ATS can receive lumpy orders like a \$100 million nuclear energy project, which would represent over 3% of the backlog by itself, making one quarter's orders largely irrelevant. Third, as parts and services

grows as a percentage of business mix, backlog and orders are less relevant metrics since these revenues are not reflected in orders. Thus, we expect that the Company will consider changing its guidance methodology after the confusion caused last quarter.

Based on our estimates for revenue growth and EBITDA margin expansion, we believe that the Company should be able to comfortably exceed current consensus estimates in FY2027. Indeed, our estimates modestly exceed the original consensus estimates going into the Q4 earnings report before analysts reduced them in late May. Thus, we see no reason it cannot reclaim its losses from the Q4 report in the relatively near term, which should provide 28% upside to the stock from current trading levels.

Investor Day to Highlight Key Tenets of Turnaround and Refresh Long-Term Targets

Additionally, ATS is planning an Investor Day, which should take place in November or December of this year. We believe that this event should sharpen investor focus on the longer-term opportunity rather than short-term noise as Doug Wright lays out his vision for the Company and some longer-term targets. Mr. Wright's focus on operations should drive margin expansion, allowing EBITDA to grow faster than revenue. Additionally, we believe that the Company can present its opportunities in radiopharma and nuclear energy in a more detailed way and provide growth targets that should exceed current investor expectations. As we have demonstrated, growth in radiopharma, nuclear energy, and services alone can support a strong organic revenue growth outlook even if we ignore the tailwinds in other areas of the Company's portfolio. Thus, we believe ATS can compound revenue growth in the high-single-digits and EBITDA growth in the low-teens. This represents an EBITDA growth rate that is 5% faster than peers like ROK, which trades at 22.0x CY2027 EBITDA versus ATS' current comparable multiple of 9.6x based on our estimates. Additionally, our calendar 2028 EBITDA estimates exceed consensus estimates by approximately 20%. Therefore, we believe that this event should be a strong catalyst for the Company to unlock value.

Potential Index Inclusion Could Reintroduce ATS to US Investors

Finally, ATS is dual-listed on the US and Canadian stock exchanges. The stock is currently not in any US indices. However, ATS already meets many of the Russell 2000 inclusion criteria. With a small tweak like moving the Company's headquarters to the US, the stock could be eligible for inclusion in the Russell 2000 index. We believe that management is exploring this and that such a move would serve as a catalyst for more US investors to discover the stock and recognize the significant valuation disconnect with peers.

Valuation and Conclusion

In summary, we believe that ATS offers a rare combination of self-help margin expansion and secular growth at a valuation that fails to reflect the quality of its underlying assets. The market is still penalizing the Company for the EV-related misstep and prior execution issues, but under Doug Wright's leadership, we believe ATS is refocusing on advantaged, higher-margin verticals where it has durable technical leadership, including radiopharma and nuclear energy. As EBITDA margins expand, parts and services sales mix improves, organic growth accelerates above peer levels, and investor communication becomes clearer, we believe ATS can re-establish itself as a high-quality compounder and close a meaningful portion of the current valuation gap versus industrial automation peers. This is also a critical moment for the Company strategically. Consolidation interest in comparable mission-critical automation assets remains robust, as evidenced by Apollo Global Management (APO) recently acquiring an approximately 37% minority stake in Syntegon, a food- and biotech-focused automation and packaging business with meaningful services potential, at an estimated valuation of about 16.0x-18.0x EBITDA. If ATS executes on its margin expansion goals and revenue opportunities, earns a higher multiple, and thereby regains access to accretive M&A, it can remain a consolidator in an attractive and growing market. If the valuation disconnect persists, we believe the Company itself could become an increasingly logical consolidation target. Either path underscores the asymmetry we see in the shares today, with our \$79.88 price target representing 107% upside from current price levels.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Clarification of forward guidance miscommunications triggers upward estimate revisions
- EBITDA margin expansion above consensus through year-end
- Acceleration in Life Sciences (radiopharma) bookings and associated revenue growth
- Acceleration in Energy (nuclear) bookings and associated revenue growth
- Upcoming Investor Day to outline new CEO strategy and introduce new long-term targets
- Potential re-domicile to US triggering Russell 2000 index inclusion

Messages

No messages